

Research briefing | UK

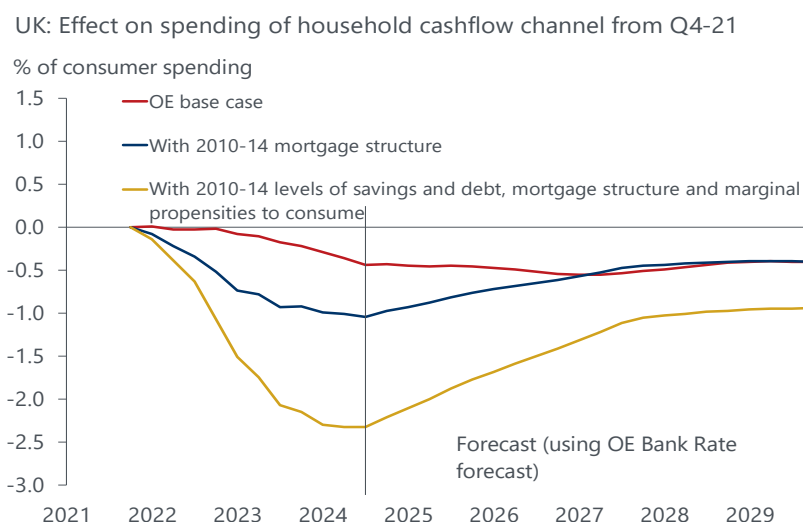
MPC easing - how far and how fast?

- The UK's current easing cycle differs from previous ones in four key respects. First, core inflation, though falling, is still well above a target-consistent pace. Second, fiscal policy is set to tighten significantly. Third, the impact of monetary policy on homeowners' mortgage payments and spending through the cashflow channel is probably less powerful and slower than it used to be. And fourth, uncertainty over the neutral rate is likely to play a more important role.
- If recent trends in pay and prices were the only factor affecting monetary policy, then over the next 18-24 months the Monetary Policy Committee would probably aim to cut interest rates gradually to a neutral level. The MPC will probably judge this is currently around 3.25%-3.5%, with a margin of error on either side.
- However, fiscal tightening and the reduced impact of the cashflow channel argue for a fairly rapid return to a neutral monetary stance, to prevent inflation falling below target over time.
- Overall, we expect the MPC will be keen to respond to signs that pay and services inflation are on a slowing path with further rate cuts.
- Market pricing implies that Bank Rate will fall to about 3.75% at end-2025 and stay around 3.5% thereafter. That end-2025 level looks reasonable and is consistent with the OE forecast. But interest rates may eventually fall further than the market path, if the upcoming Budget delivers credible plans for sizeable multi-year fiscal tightening that will dampen growth and/or some of the cyclical factors that have lifted neutral rates over the last few years (especially inflation expectations and wage-setting behaviour) subside over time.

The big picture is that the UK's monetary policy committee moved to a tight monetary policy stance to prevent the various adverse supply shocks (post-pandemic reallocation, higher global goods prices, higher energy prices) from becoming embedded in inflation expectations and hence creating persistent above-target inflation.

Now, as pay growth, core inflation and inflation expectations head back to target-consistent rates, the MPC is likely to move to a neutral stance, whereby policy aims to stabilise inflation rather than lower it. So how far and how fast will the MPC cut, and what factors will bear on the committee's thinking?

Chart 1: The household cashflow channel has become slower and less powerful



Sources: Oxford Economics/Haver Analytics

MPC easing – how far and how fast

Previous MPC easing cycles have typically been front-loaded, with Bank Rate falling by 125bps in the first nine months (the median is similar). This average reflects five previous easing cycles, starting from Oct. 1998, Feb. 2001, Feb. 2003, Dec. 2007, and the pandemic-related easing that began in March 2020. The average time between the first and last rate cut was only seven-eight months. Indeed, only one easing cycle extended beyond nine months – in 2007-2009 when there was 15 months between the first and last cut.

This easing cycle, however, is occurring against a very different background in four key respects.

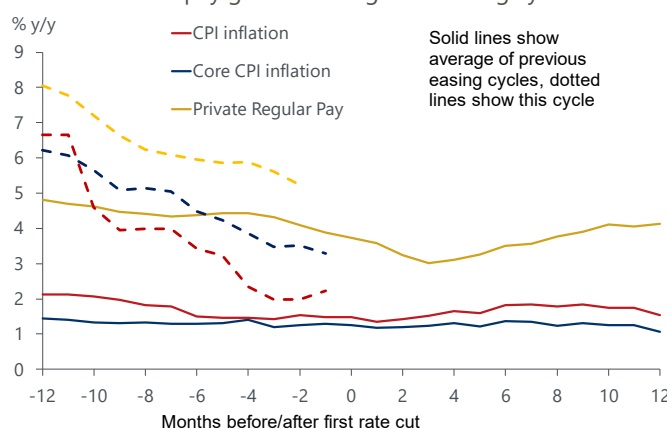
1. Underlying inflation is higher

Previous easing cycles all began with subdued core inflation, allowing the MPC to cut rates promptly in response to risks of weak activity. By contrast, core inflation, although slowing, currently still exceeds 3% and is well above a target-consistent pace of 2%. Consistent with this, private sector regular pay growth (5.2% y/y in Q2) is also well above a target-consistent pace of 3.5% or so.

So if recent trends in pay and prices were the only factor affecting monetary policy, we would expect a very gradual easing cycle over the next 18-24 months as pay and core inflation return to target-consistent rates. In practice, though, there are several other major differences with prior easing cycles.

Chart 2: Inflation and pay growth are much higher than during previous MPC easing cycles

UK: Inflation and pay growth during MPC easing cycles



Sources: Oxford Economics/Haver Analytics

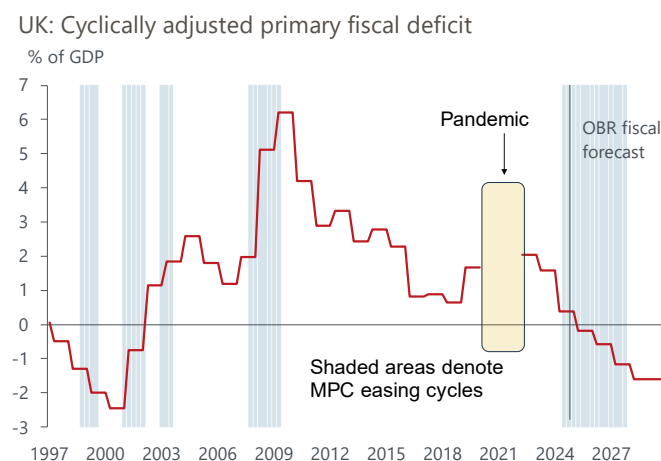
2. Fiscal policy is set to tighten significantly, rather than support growth

The monetary policy easing cycles of 2001, 2003, 2004, 2007-2009 and 2020 all occurred against a backdrop of loosening fiscal policy (i.e., a rising cyclically adjusted primary deficit), so that fiscal and monetary policy were both acting to lift activity.

However, the existing outline plans (from the March Budget) imply a sizeable multi-year fiscal tightening of about 3% of GDP over the period to FY2028/29. The March Budget lacked detailed plans to achieve that path. But the [upcoming Budget](#) (late October) is likely to unveil coherent and credible tax and spending measures to implement something like that multi-year tightening over the next few years.

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Chart 3: Unlike most previous MPC easing cycles, fiscal policy is on a tightening path



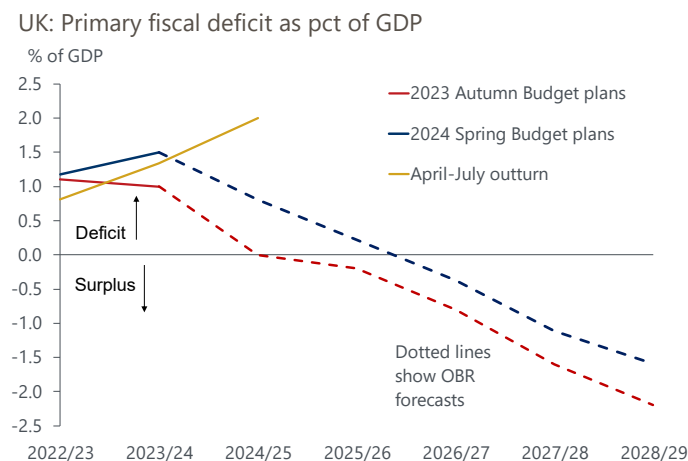
Sources: Oxford Economics/Haver Analytics

The resulting shift to fiscal tightening could be very abrupt compared to the last few quarters, because fiscal policy has recently been less restrictive than the March Budget plans.

For example, the primary fiscal deficit (i.e., fiscal deficit excluding debt interest) rose to £18.5bn (2.0% of GDP) in April-July this year from £12.0bn (1.3% of GDP) in April-July 2023 and £6.7bn (0.8% of GDP) in April-July 2022. By contrast, the March Budget projected that the full-year primary deficit will fall from 1.5% of GDP in FY2023/24 to 0.8% of GDP in the current fiscal year and 0.2% of GDP in FY2025/26, with surpluses in the following years. Consistent with that, real government consumption and investment rose 3.5% y/y in Q2, generating all the growth in final domestic demand (0.4% y/y); real private final spending fell 0.5% y/y.

If the forthcoming Budget returns fiscal policy to something like the March Budget path, it will represent a very sharp tightening compared to recent trends.

Chart 4: Despite stated plans for lower borrowing, the fiscal deficit has been rising recently



Sources: Oxford Economics/Haver Analytics

To be sure, the prospective mix in this cycle is not unprecedented. The 1998-99 easing cycle also was accompanied by tighter fiscal policy. However, unlike now, credit growth was buoyant then, although there were fears it would weaken. This is the first easing cycle since Bank of England independence that starts with dual economic headwinds from sluggish credit growth and the prospect of sizeable fiscal tightening.

3. The impact of monetary policy on the economy is smaller and slower

The [household cashflow channel](#) is a key part of the monetary policy transmission mechanism. Lower interest rates cut interest payments among borrowers – especially mortgagors, given that mortgages account for most household debt – and reduce interest receipts for savers. Because borrowers adjust

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spending more than savers in response to these cashflow changes, the net effect is to lift spending. However, compared to 10-15 years ago, this channel is slower and less powerful.

One reason for this is that households have higher savings and lower debt. In 2010-2014, household debt (138% of income) significantly exceeded holdings of interest-bearing assets (110%). Now they are the same size (both 118% of income). So cuts in interest rates produce a smaller decline in interest outlays and a bigger drop in interest receipts than before.

Another reason is that most mortgages now have five-year fixed rates rather than variable rates. Since 2010-2014, the share of mortgages with variable rates is down from 67% to 12%, with the share with rates fixed for five years or more up from 11% to 60% (mostly fixed for five years). Hence, there is a much longer lag between changes in Bank Rate (and market interest rates) and their impact on mortgage payments for people with an existing mortgage. Note that interest rates on most household deposits continue to respond quickly to changes in Bank Rate.

And the final reason is that households' marginal propensity to consume in response to changes in mortgage payments has [fallen significantly](#) since 2014. This appears to be because mortgagors are more likely to have access to credit and savings to maintain spending if their mortgage payments fluctuate. Conversely, the marginal propensity to consume in response to changes in interest income (which is relatively low) has risen slightly. The marginal propensity to consume on interest outlays remains well above that on interest income, and so an equal drop in interest receipts and interest outlays boosts spending. But the effect is smaller than previously.

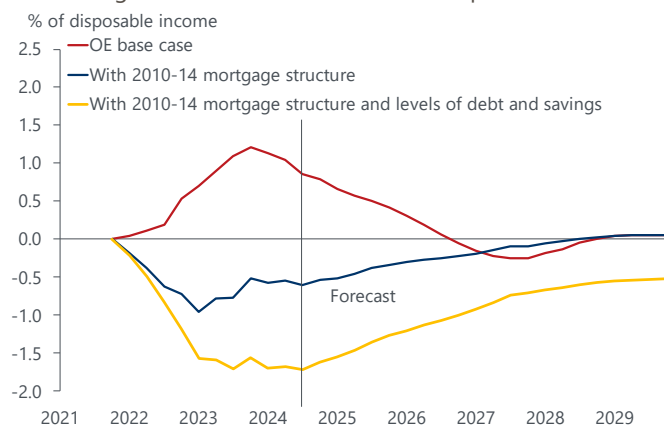
These changes have greatly weakened the household cashflow channel. With interest rates on deposits rising faster than rates on outstanding mortgages, the recent rate hiking cycle caused household net interest receipts to increase by about 1.2% of income since Q4 2021. In turn, the adverse effect on consumer spending through the cashflow channel of higher interest rates has been modest so far – about 0.5% of consumer spending.

Looking ahead, even with a falling Bank Rate, the average interest rate on the mortgage stock will probably keep rising in 2025 and 2026, whereas deposit rates are likely to fall with Bank Rate. As a result, the easing cycle that we expect is likely to cause interest receipts to fall faster than interest outlays, thereby initially weakening household finances. Allowing for the changed marginal propensities to consume, the cashflow channel will drag slightly on spending in 2025-2026 and lift spending only very modestly over 2027-2029, by about 0.1%-0.2%.

Note that these estimates assume that Bank Rate will fall from 5% to 3.75% at end-2025, 2.75%-3.0% at end-2026, and 2.0% at end-2027 and thereafter. This is close to near-term market pricing and below it from end-2026. We assume household interest rates adjust normally to changes in Bank Rate and market rates.

Chart 5: Rising interest rates caused household net interest receipts to rise, lower rates will weaken them

UK: Change in household net interest receipts from Q4-2021



Sources: Oxford Economics/Haver Analytics

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By contrast, if the levels of debt and savings and the structure of mortgage debts matched the 2010-2014 average, the rate hikes of 2021-2023 would have worsened household finances markedly – by about 1.7% of income (**Chart 5**). In turn, if marginal propensities to consume matched those of 2014, the cashflow effect of those rate hikes would have reduced consumer spending by more than 2% in recent quarters (**Chart 1**), which probably would have caused a significant recession. Subsequently, falling interest rates would quickly lift consumer spending by about 1.3% in 2025-2027. More likely, interest rates would not have risen so much and would not need to fall so far to stabilise inflation.

Note that these estimates only include the cashflow channel's direct effects on consumer spending; in practice, these effects would probably be magnified by indirect effects as higher spending, for example, lifts employment and pay, thereby raising household incomes. These estimates also assume that people only adjust spending when changes in interest payments and receipts occur. In practice [there is evidence](#) that some people adjust spending in advance, although some may adjust later. Also, these simulations do not account for monetary policy's other effects, for example on asset prices and interest rates on new loans. But there's no sign that these channels have become more powerful or faster, so the changes in the cashflow channel probably have made monetary policy's overall impact on the economy slower and weaker.

4. Neutral rate uncertainty is now more important

The neutral rate is inherently uncertain, but this uncertainty is relatively high – and important – at present. During the last 10-15 years, the MPC did not need to pin down their estimates of neutral precisely, because economic conditions generally required Bank Rate to remain below neutral, and the MPC would have cut further if not constrained by the effective lower bound. Now, as the MPC seeks to move from reducing inflation to stabilising it, having a sense of where neutral is matters a lot.

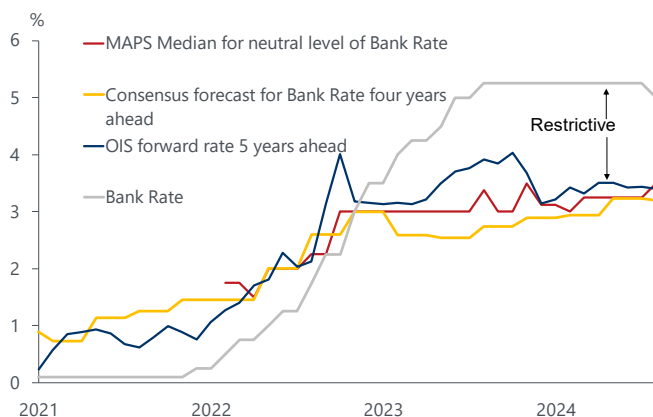
The MPC has said that policy is currently restrictive, and this view is reinforced by the sluggish growth of nominal GDP (3.0% y/y) and private credit (1.2% y/y). However, the MPC has not said what rate level it regards as neutral. In 2018, the [BoE judged](#) that a neutral nominal rate would be about 2.25%, but that estimate now looks quite dated. The MPC's latest forecast projects that if Bank Rate averages 4.0% over the next three years (the market profile at the time) then inflation will average 1.6% (below the 2% target) two-three years ahead. This implies they believe a neutral rate is a bit below 4%, but not as low as 2.25%.

We suspect the BoE currently assumes that neutral is 3.25%-3.5% or so, with a margin of uncertainty on either side. Such a figure would be consistent with [BoE estimates](#) published early this year and with the [BoE MAPS survey](#). It's also similar to market-implied estimates and [consensus forecasts](#) for Bank Rate four-five years ahead, a horizon at which cyclical effects on interest rates might be expected to fade.

However, while these guides to neutral are currently consistent with each other, they have not been stable over time. For example, in early 2022 these external guides suggested the neutral rate was around 2%. Similar increases in guides to the neutral rate have occurred in other major advanced economies.

Chart 6: Interest rates are above neutral, but guides to neutral have changed over time

UK: Bank Rate and guides to neutral level of rates



Sources: Oxford Economics/Haver Analytics

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Moreover, guides to the neutral rate may change again in coming years. The [June BoE MAPS](#) survey noted that the consensus estimate of the neutral rate had risen by 150bps since early 2022. In that survey, external analysts judged that slow-moving structural factors (i.e., long-term trends that impact the balance between the demand for capital and the stock of wealth available to finance it) had accounted for about three-fifths (i.e., 90bps) of that rise, while short-term factors, which are cyclical or transitory, had accounted for the rest (i.e., 60bps). By their nature, these transitory factors may not persist in coming years.

Consistent with this, our [recent OE study](#) judged that inflation expectations currently may be less well anchored than the pre-pandemic period, and this may have lifted the UK neutral rate close to 3% at present. But that study argued that as the effect of high inflation rates fades and inflation expectations become more anchored, the nominal neutral rate is likely to fall back to around 2% by 2030. Similarly, structural models produced by the [BoE](#), [IMF](#), and [OE](#) suggest that the forces that drove neutral rates lower over the last 20-30 years (especially low productivity growth and population ageing) remain powerful and that neutral rates across advanced economies in coming years are likely to be very low.

The upshot is that the MPC is probably not sure exactly how far rates have to fall to return to neutral. And they may well adjust their judgement of neutral if these other guides again converge on a new level.

Implications: easing may be quick even if pay and core inflation slow only gradually

While the trends in pay and core inflation argue for a gradual easing cycle, the prospect of significant fiscal tightening and longer monetary policy lags go the other way, and support the case for a relatively large and front-loaded easing cycle. Unless interest rates fall substantially, the household cashflow channel will continue to drag on growth in the next year or two as fixed mortgages reset upwards. With fiscal policy likely to be tightening markedly, overall economic growth may slip below potential in coming years unless private spending strengthens markedly. This seems unlikely if monetary policy remains restrictive. In turn, sub-trend economic growth would imply rising slack and point to below-target inflation further ahead.

Given monetary policy lags and fiscal tightening, in our view it's unlikely the MPC will wait until pay growth and services inflation are at target-consistent rates before cutting interest rates significantly further.

Provided pay and services inflation are slowing roughly as expected, the MPC will [put more weight on their forecasts](#) that both will return to target-consistent rates in the next year or two.

The MPC has recently been reluctant to give much guidance over the policy outlook, although [their language](#) sounds cautious over the extent and pace of any future easing: "Monetary policy will need to continue to remain restrictive for sufficiently long until the risks to inflation returning sustainably to the 2% target in the medium term have dissipated further." But while the MPC's language suggests a September cut is unlikely, it's consistent with a variety of easing paths thereafter. In particular, policy would still be restrictive provided Bank Rate remains above neutral, which (as discussed) the BoE probably judge to be 3.25%-3.5%. Moreover, the August MPR forecast that inflation will fall well below target two-three years ahead if Bank Rate follows the market rate path at the time (which showed Bank rate falling to about 4.0% at end-2025 and lower thereafter) implies that if events are roughly as expected, interest rates will probably need to fall quite a long way to stabilise inflation on target.

At the margin, the likelihood that other major central banks will also be cutting rates as the inflation risks of 2022-2023 recede will encourage the MPC to do likewise. There often is a sort of intellectual spillover, whereby central banks tend to be more confident in their diagnosis and their response if other central banks act in a similar fashion. But, unless the actions of other central banks or other factors cause sterling or other asset prices to move sharply, the MPC's focus will remain mainly on domestic factors rather than external constraints. The MPC does not need to shadow other central banks.

Market pricing currently implies that Bank Rate will fall to about 3.75% at end-2025 and stay around 3.5% thereafter. That end-2025 level looks reasonable, and is similar to the [OE forecast](#).

Still, assuming credible fiscal tightening is in place while pay and core inflation are slowing, it's worth considering a scenario in which interest rates return to neutral (i.e., 3.25%-3.5% or so) fairly quickly – within the next four or five quarters.

Moreover, market pricing may understate the extent to which interest rates will fall eventually. For example, if fiscal tightening dampens growth substantially over the next year or two, then it might be appropriate to

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cut interest rates below neutral to provide sufficient monetary support to prevent growth slipping below trend. Alternatively, some of the cyclical factors that may have lifted the neutral rate might fade, for example, if inflation expectations and wage growth become more anchored at target-consistent rates. In this case, the neutral rate itself might fall a bit, as longer-term structural factors implying very low neutral rates dominate. This is what is built into Oxford Economics' forecast.